

AUDIT WORKPAPER WP-514

Financial Statement Review & Verification

Client: Unknown Entity
Period: CY
Currency / Scale: USD / -

Framework: -
Review Stage: CY_Final
Overall Status: REJECTED

PROCEDURES RUN

35 / 43

GATE STATUS

REJECTED

OPEN FINDINGS

6

FRAMEWORK

US GAAP

1. FINANCIAL STATEMENT REVIEW & MECHANICAL AUDIT PROCEDURES (28 RULES)

#	Category	Review / Control Test	Ref	Status	Discrepancy / Issue	Resolution
1	Mathematical Accuracy	Balance Sheet Equilibrium: Total Assets == Total Liabilities + Total Stockholders' Equity	MATH_01	FAIL	Discrepancy of 570,000.00: Expected 1,570,000.00, Actual 1,000,000.00	Audit Action: REJECTED
2	Mathematical Accuracy	Current Assets Footing: Total Current Assets == Cash + AR + Inventory + Prepaid Expenses	MATH_02	PASS	-	no action required.
3	Mathematical Accuracy	Total Assets Footing: Total Assets == Total Current Assets + Total Non-Current Assets	MATH_03	PASS	-	no action required.
4	Mathematical Accuracy	Current Liabilities Footing: Total Current Liabilities == AP + Short-Term Debt + Accrued Expenses	MATH_04	PASS	-	no action required.
5	Mathematical Accuracy	Total Liabilities Footing: Total Liabilities == Total Current Liabilities + Total Non-Current Liabilities	MATH_05	FAIL	Discrepancy of 570,000.00: Expected 430,000.00, Actual 1,000,000.00	Audit Action: REJECTED
6	Mathematical Accuracy	Stockholders' Equity Footing: Equity == Common Stock + APIC + Retained Earnings + AOCI	MATH_06	PASS	-	no action required.
7	Mathematical Accuracy	Gross Profit Calculation: Gross Profit == Revenue - Cost of Goods Sold	MATH_07	PASS	-	no action required.
8	Mathematical Accuracy	Operating Income Calculation: Operating Income == Gross Profit - Operating Expenses	MATH_08	FAIL	Discrepancy of 40,000.00: Expected 260,000.00, Actual 300,000.00	Audit Action: REJECTED
9	Mathematical Accuracy	Net Income Calculation: Net Income == Operating Income - Interest - Taxes	MATH_09	PASS	-	no action required.
10	Mathematical Accuracy	Cash Flow Net Change: Net Change in Cash == Operating CF + Investing CF + Financing CF	MATH_10	FAIL	Discrepancy of 20,000.00: Expected 20,000.00, Actual 0.00	Audit Action: REJECTED
11	Mathematical Accuracy	Cash Flow Ending Cash: Ending Cash == Beginning Cash + Net Change in Cash	MATH_11	PASS	-	no action required.
12	Internal Consistency	Net Income Reconciliation: IS Net Income == CFS Starting Net Income	TIEOUT_01	PASS	-	no action required.
13	Internal Consistency	Ending Cash Tie-Out: CFS Ending Cash == Balance Sheet Cash & Cash Equivalents	TIEOUT_02	FAIL	Discrepancy of 120,000.00: Expected 120,000.00, Actual 0.00	Audit Action: REJECTED
14	Internal Consistency	Retained Earnings Roll-Forward: Ending RE == Beginning RE + Current Net Income - Dividends Declared	TIEOUT_04	FAIL	Discrepancy of 130,000.00: Expected 500,000.00, Actual 370,000.00	Audit Action: REJECTED
15	Prior Year Tie-Out	Comparative Assets: Current Report PY Total Assets == Audited Prior-Year Total Assets	PY_01	PASS	-	no action required.

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16	Prior Year Tie-Out	Comparative Cash: Current Report PY Cash == Audited Prior-Year Cash	PY_02	PASS	-	no action required.
17	Prior Year Tie-Out	Comparative Retained Earnings: Current Report PY Retained Earnings == Audited Prior-Year Retained Earnings	PY_03	PASS	-	no action required.
18	Prior Year Tie-Out	Comparative Revenue: Current Report PY Revenue == Audited Prior-Year Revenue	PY_04	PASS	-	no action required.
19	Prior Year Tie-Out	Comparative Net Income: Current Report PY Net Income == Audited Prior-Year Net Income	PY_05	PASS	-	no action required.
20	Schedule Footing	AR Aging Schedule Footing: Gross AR (Footnote) == Sum of Aging Buckets	NOTE_01	PASS	-	no action required.
21	Schedule Footing	Net AR Footnote Calculation: Net AR (Footnote) == Gross AR - Allowance for Credit Losses	NOTE_02	PASS	-	no action required.
22	Internal Consistency	AR Footnote to Balance Sheet: Note Net AR == Balance Sheet Net Accounts Receivable	NOTE_03	PASS	-	no action required.
23	Schedule Footing	PP&E; Footnote Net Book Value: Ending Net PP&E; == Ending Gross PP&E; - Ending Accumulated Depreciation	NOTE_04	PASS	-	no action required.
24	Internal Consistency	PP&E; Footnote to Balance Sheet: Note Net PP&E; == Balance Sheet Net Property, Plant & Equipment	NOTE_05	PASS	-	no action required.
25	Schedule Footing	Debt Maturity Schedule Sum: Total Future Debt Maturities == Sum of Scheduled Debt	NOTE_06	PASS	-	no action required.
26	Internal Consistency	Short-Term Debt Maturity Match: Year 1 Debt Maturity == Balance Sheet Current Portion of LT Debt	NOTE_07	PASS	-	no action required.
27	Internal Consistency	Long-Term Debt Maturity Match: Sum of Years 2-Thereafter Maturities == Balance Sheet Long-Term Debt	NOTE_08	PASS	-	no action required.
28	Income Statement Sanity	Revenue Growth Rate Rule	IS_GUARD_01	PASS	-	no action required.
29	Income Statement Sanity	Gross Profit Margin Rule	IS_GUARD_02	PASS	-	no action required.
30	Income Statement Sanity	OpEx to Revenue Ratio	IS_GUARD_03	PASS	-	no action required.
31	Income Statement Sanity	Effective Tax Rate Rule	IS_GUARD_04	PASS	-	no action required.
32	Balance Sheet Sanity	Cash Buffer Rule	BS_GUARD_01	PASS	-	no action required.
33	Balance Sheet Sanity	Current Ratio Liquidity Check	BS_GUARD_02	FLAGGED	Current Ratio is 3.06x (Standard range: 1.00x to 3.00x)	Audit Action: REVIEW REQUIRED
34	Balance Sheet Sanity	Days Sales Outstanding (DSO)	BS_GUARD_03	PASS	-	no action required.
35	Balance Sheet Sanity	Debt-to-Equity Ratio	BS_GUARD_04	PASS	-	no action required.
36	Cash Flow Sanity	Operating Cash Flow vs Net Income Alignment	CF_GUARD_01	PASS	-	no action required.
37	Cash Flow Sanity	CapEx to Revenue Ratio	CF_GUARD_02	PASS	-	no action required.
38	Cash Flow Sanity	Dividend Payout Ratio	CF_GUARD_03	PASS	-	no action required.

#	Category	Review / Control Test	Ref	Status	Discrepancy / Issue	Resolution
39	Equity Sanity	Retained Earnings Continuity	EQ_GUARD_01	PASS	-	no action required.
40	Equity Sanity	Share Buyback Limits	EQ_GUARD_02	PASS	-	no action required.
41	Notes Sanity	Bad Debt Provision	NOTE_GUARD_01	FLAGGED	Provisions are 0.00% of AR	Audit Action: REVIEW REQUIRED
42	Notes Sanity	Contingent Liabilities Threshold	NOTE_GUARD_02	PASS	-	no action required.
43	Driver Sanity	Positive Headcount	DRIVER_GUARD_01	PASS	-	no action required.

2. KEY FINANCIAL RATIOS ENGINE (11 RULES)

Category	Ratio Name	Formula	Value	Benchmark	Status
Liquidity & Solvency	Current Ratio	Total Current Assets / Total Current Liabilities	3.06x	-	-
Liquidity & Solvency	Quick Ratio (Acid-Test)	(Cash + Mkt Sec + AR) / Total Current Liabilities	2.06x	-	-
Liquidity & Solvency	Debt-to-Equity Ratio	(Short-Term Debt + Long-Term Debt) / Total Equity	0.54x	-	-
Liquidity & Solvency	Interest Coverage Ratio	EBIT / Interest Expense	12.00x	-	-
Activity & Working Capital	Days Sales Outstanding (DSO)	(AR / Revenue) * 365	60.8 Days	-	-
Activity & Working Capital	Days Inventory Outstanding (DIO)	(Inventory / COGS) * 365	73.0 Days	-	-
Activity & Working Capital	Days Payable Outstanding (DPO)	(Accounts Payable / COGS) * 365	48.7 Days	-	-
Activity & Working Capital	Cash Conversion Cycle (CCC)	DIO + DSO - DPO	85.2 Days	-	-
Profitability & Margins	Gross Profit Margin	((Revenue - COGS) / Revenue) * 100	40.00%	-	-
Profitability & Margins	Operating Profit Margin	(Operating Income / Revenue) * 100	20.00%	-	-
Profitability & Margins	Effective Tax Rate	(Income Tax Expense / EBT) * 100	20.00%	-	-

3. AUDIT FINDINGS & EXCEPTIONS SCHEDULE

FINDING-001 | Rule: **MATH_01** | Severity: **CRITICAL** | Status: **OPEN**

Description: Balance Sheet Equilibrium: Total Assets == Total Liabilities + Total Stockholders' Equity

Expected: 1570000.00 **Actual:** 1000000.00 **Difference:** 570000.00

Recommended Action: Rule failure: REJECTED. Reconcile underlying ledger accounts.

FINDING-002 | Rule: **MATH_05** | Severity: **CRITICAL** | Status: **OPEN**

Description: Total Liabilities Footing: Total Liabilities == Total Current Liabilities + Total Non-Current Liabilities

Expected: 430000.00 **Actual:** 1000000.00 **Difference:** 570000.00

Recommended Action: Rule failure: REJECTED. Reconcile underlying ledger accounts.

FINDING-003 | Rule: MATH_08 | Severity: CRITICAL | Status: OPEN

Description: Operating Income Calculation: Operating Income == Gross Profit - Operating Expenses

Expected: 260000.00 Actual: 300000.00 Difference: 40000.00

Recommended Action: Rule failure: REJECTED. Reconcile underlying ledger accounts.

FINDING-004 | Rule: MATH_10 | Severity: CRITICAL | Status: OPEN

Description: Cash Flow Net Change: Net Change in Cash == Operating CF + Investing CF + Financing CF

Expected: 20000.00 Actual: 0.00 Difference: 20000.00

Recommended Action: Rule failure: REJECTED. Reconcile underlying ledger accounts.

FINDING-005 | Rule: TIEOUT_02 | Severity: CRITICAL | Status: OPEN

Description: Ending Cash Tie-Out: CFS Ending Cash == Balance Sheet Cash & Cash Equivalents

Expected: 120000.00 Actual: 0.00 Difference: 120000.00

Recommended Action: Rule failure: REJECTED. Reconcile underlying ledger accounts.

FINDING-006 | Rule: TIEOUT_04 | Severity: CRITICAL | Status: OPEN

Description: Retained Earnings Roll-Forward: Ending RE == Beginning RE + Current Net Income - Dividends Declared

Expected: 500000.00 Actual: 370000.00 Difference: 130000.00

Recommended Action: Rule failure: REJECTED. Reconcile underlying ledger accounts.

4. FINAL AUDIT OPINION & CONCLUSION

Deterministic Audit Conclusion	REJECTED	Audit status REJECTED due to failure in critical deterministic footing / tie-out rules.
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